Chhattisgarh State Electricity ... vs Chhattisgarh State Power Distribution ... on 16 January, 2026

IN THE APPELLATE TRIBUNAL FOR ELECTRICITY
(Appellate Jurisdiction)

R.P. No. 23 of 2025
in
Apl No. 286 of 2017

Dated: 16th January, 2026

Present: Hon'ble Ms. Seema Gupta, Technical Member
Hon'ble Mr. Virender Bhat, Judicial Member

In the matter of:

Chhattisgarh State Electricity Regulatory Commission
Represented by its Director (Tariff)
Irrigation Colony, Shanti Nagar,
Raipur (C.G.)- 492001
Email: surendra_singh26@rediffmail.com ... Petitioner(s)

Versus

1. Chhattisgarh State Power Distribution Co. Ltd.
Represented by its Executive Engineer (RAC-I)
4th Floor, Vidyut Sewa Bhavan, Daganiya,
Raipur (C.G.)- 492013
Email: ce.commercial@cspc.co.in

2. Jayaswal Neco Industries Limited
Represented by its Managing Director
F-8, MIDC, Industrial Area, Hingna Road,
Nagpur - 440016
Email: contact@necoindia.com

3. Chhattisgarh Mini Steel Plant Association
Represented by its Managing Director
Shop No. 408, 4th Floor,
Samta Shipping Arcade, Main Road,

Samta Colony, Raipur, (C.G.)- 492001
Email: cumraipur@gmail.com

4. Chhattisgarh Ferro Alloys Producers Association
Represented by its Director
Urla Industrial Area,
Raipur (C.G.)- 492003

Email: memberservices@ifapaindia.org

5. Chhattisgarh Steel Re-Rollers Association
Represented by its Authorised Representative
1st Floor, Sona Tower,Opp. Deshbandhu Press,
Ramasaarpara, Raipur (C.G.)- 492001
Email: cgsra@rediffmail.com

6. J.K. Laxmi Cement Ltd.
Represented by its Managing Director
Jaykaypuram, Basantgarh,
Distt. Sirohi, Rajasthan - 307019
Email: jklc.investors@jkmail.com ... Res

Counsel for the Petitioner(s) : Shikha Ohri
Parinay Deep Shah
Kartik Sharma
for App. 1

Counsel for the Respondent(s) : R.K. Mehta Sr. Adv.
Rashmi Singh
for Res. 1

ORDER

PER HON'BLE MR. VIRENDER BHAT, JUDICIAL MEMBER

1. The Chhattisgarh State Electricity Regulatory Commission (hereinafter referred to as "the Commission") has filed this petition seeking review of judgement dated 15th May, 2025 passed by this

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Tribunal in Appeal No. 286 of 2017 which was directed against the common order dated 31st March, 2017 passed by Chhattisgarh State Electricity Regulatory Commission in four petitions bearing Nos. 64/2016(T), 65/2016(T), 66/2016(T) and 67/2016(T) filed by the first Respondent - Chhattisgarh State Power Distribution Ltd. (in short CSPDL) . Vide the said order dated 31st March, 2017, the Commission had done true up of the financials of the Review Petitioner/Appellant for the Financial Year 2015-16 and had also determined its tariff for Financial Year 2017-18. CSPDL had assailed the said order by way of Appeal No. 286 of 2017.

2. Following six issues had been raised by the CSPDL/Appellant in the said appeal before this Tribunal :-

(a) Negative interest on Working Capital reduced from ARR for FY 2015- 16;

(b) Erroneous calculation of Interest and Finance Charges in the revised ARR for FY 2017-18;

(c) Subsidy not received from Government considered as revenue for FY 2015-16;

(d) Return on Equity for FY 2015-16 taken as 15.5% instead of 16%;

(e) Computation of Interest on Loan considering effect as 'UDAY'; and

(f) Variable Cost Adjustment Charge

3. The Petitioner is seeking a review of our findings on issue No. (a). On this issue, this Tribunal has held that deduction of an amount of Rs.49.38 crores under interest on Working Capital requirement from ARR of CSPDL (Appellant in the main appeal) for the Financial Year 2015-16 by applying 13.5% rate of interest on consumer security deposit exceeding normative working capital requirement in arriving at the said notional figure is contrary to MYT Regulations, 2012.

4. In reaching the said conclusion, this Tribunal has relied upon earlier judgement dated 9th October, 2015 in Appeal No. 308 of 2013 which was between the same parties i.e. the Commission and Respondent No. 1. We find it profitable to extract herein the discussion of this Tribunal in the judgement under review on this issue :-

> "Issue No.(a): Negative Interest on Working Capital reduced from ARR for FY 2015-16.
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> 8. The grievance of the appellant is that the Commission in the impugned tariff order has erroneously deducted an amount of Rs.49.38 crores under Interest on Working Capital requirement from ARR of the appellant for the FY 2015-16 by
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> applying 13.5% rate of interest on consumer security deposit exceeding normative working capital requirement in arriving at the said notional figure. It is submitted that such approach of the Commission is contrary to MYT Regulations, 2012 issued by the Commission itself as well as contrary to the decision of this tribunal dated 09.10.2015 in appeal no.308/2013.
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> 9. We have perused the judgment of this tribunal dated 09.10.2015 in appeal no.308/2013 which was between the same parties i.e. appellant and the Commission. With regards to the determination of working capital in case of retail supply of electricity as per MYT Regulation, 2012, it has been observed in the said judgment as under: -

"12.10 As per 2012 Tariff Regulations in determining the Working Capital in case of retail supply of electricity, the amount held as security deposit from the consumers is to be deducted. The interest paid on security deposit to the consumers is also allowed as part of interest and financial charges under Regulation 23.10. Provision for non-tariff income what is to be subtracted from ARR is similar to 2010 Regulation 12.11 2010 Tariff Regulations provide for non tariff income to be deducted from the ARR. However, the non- tariff income does not specify notional income on the consumer security deposit.

12.12 The 2012 Tariff Regulations provide for deduction of consumer security deposit from the working capital requirements. However, there is no provision for notional interest on excess consumer security deposit to be treated as non-tariff income.

12.13 Thus, deduction of notional interest from the interest on working capital in FY 2006-07 to 2008-09 (April-December), treating notional interest on consumer security deposit as non-tariff income for FY 2008-09 (Jan-March) and 2009-10 to 2011-12 and notional interest on excess consumer security deposit over and above the working capital requirement as non tariff income is contrary to the applicable Regulations.

12.14 Therefore, this issue is decided in favour of the Appellant."

10. We note that the applicability period of MYT Regulations, 2012, is from the FY 2012-13 to FY 2015-16. The issue at hand also pertains to the determination of ARR for the appellant for the FY 2015-16. Therefore, the dispute is governed by MYT Regulations, 2012 and the observations of this Tribunal in the above noted judgment are squarely applicable to the instant case also.

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11. Hence, we hold that the deduction of notional interest in FY 2015-16 on working capital is contrary to the applicable MYT Regulations, 2012.

12. The issue is decided in favour of the appellant.

5. Learned Counsel for the Review Petitioner/Commission vehemently argued that this Tribunal has not considered the submissions on behalf of the Commission that issue in Appeal No. 308 of 2013 was not identical but absolutely distinct from the issue which has arisen in the instant Appeal No. 286 of 2017 and, therefore, the judgement under review suffers from error apparent on the face of record, which needs to be corrected.

6. We may note that what persuaded this Tribunal in basing our findings on issue No. (a) in the instant appeal on the findings rendered by this Tribunal in previous judgement in Appeal No. 308 of

2013, has been stated in paragraph No. 10 of the judgement which has been reproduced hereinabove.

7. The facts of the instant case and the contentions raised by the parties appeared to be similar to the facts and circumstances in which the judgement in Appeal No. 308 of 2013 was delivered on the issue at hand i.e. deduction of notional interest on security deposit of consumers

---------- from the interest on working capital and, therefore, the same was relied upon. Contention of the Petitioner/Commission, at best, is that in doing so, this Tribunal has erred, but that by no means, is a ground to seek review of the judgement. It is one thing to say that judgement suffers from error apparent on the face of the record and an altogether different thing to say that the judgement is erroneous. Power of review can be exercised only in the former case whereas in the later case, the only remedy available to the aggrieved party is to approach the higher forum /court by way of appeal.

8. We are unable to find any error apparent on the face of record in the judgment under review. Therefore, we do not find any force in the review petition and the same is hereby dismissed.

Pronounced in the open court on this the 16th day of January, 2026.

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(Virender Bhat)                                    (Seema Gupta)
Judicial Member                                Technical Member (Electri
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